IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA(CAA)/20(CHE)2022

And

CA(CAA)/21(CHE)2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement*

of

SURYALAXMI ENTERPRISES PRIVATE LIMITED
having its registered office at
3/11, Seshachala Gramini Garden Street,
Sathangadu, Chennai – 600 019
Represented by its Director Mrs. Priyanka Gupta

..... *Applicant Company / Transferor Company*

AYODHYA FLOUR MILLS PRIVATE LIMITED
having its registered office at
3/11, Seshachala Gramini Garden Street,
Sathangadu, Chennai – 600 019
Represented by its Director Mrs. Baburam Ashok Kumar

..... *Applicant Company / Transferee Company*

AND

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on ***13th July 2022.***

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Justice (Retd.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Vikram P. Jain, Advocate

ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

This is an Application filed by jointly the Applicant Companies, namely **Suryalaxmi Enterprises Private Limited** *(hereinafter referred to as the "Transferor Company")* and **Ayodhya Flour Mills Private Limited** *(hereinafter referred to as the "Transferee Company"),* filed under sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the NCLT, Rules, 2016, in relation to the Scheme of Amalgamation.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR	To dispense with	To dispense with	*To Order for Meeting*
TRANSFEREE	To dispense with	To dispense with	To dispense with

3. The affidavit in support of the above Application has been duly sworn and has been filed along with the Joint Application. The Registered offices of the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of the Registrar of Companies, Chennai.

4. **SURYALAXMI ENTERPRISES PRIVATE LIMITED (TRANSFEROR COMPANY – CA(CAA)/20(CHE)/2022)**

(i) The Transferor Company has 5 (five) Equity Shareholders and the list of shareholders to this effect is annexed at page No.132 in the accompanying Typed Set of Documents, and the corresponding consent affidavits given by all the shareholders are placed at page No. 133 to 147 in the accompanying Typed Set of Documents, and the Transferor Company have accordingly sought dispensation of the meeting of the Equity Shareholders.

(ii) The Transferor Company has 1 (one) Secured Creditor and the Certificate issued by the Chartered Accountant reflecting the same is placed at page No. 148 and the Consent Affidavit given by the sole Secured Creditor is placed at page No. 149 of the typed set of documents and have accordingly sought dispensation of the meeting of the Secured Creditor.

(iii) The Transferor Company has 13 Unsecured Creditors, and the Certificate issued by the Chartered Accountant reflecting the same is placed at page No. 154 and have accordingly sought direction for conducting, holding and convening the meeting of the Unsecured Creditor.

5. **AYODHYA FLOUR MILLS PRIVATE LIMITED (TRANSFEREE COMPANY – CA(CAA)/21(CHE)/2022)**

(iv) The Transferee Company has 5 (five) Equity Shareholders and the list of shareholders to this effect is annexed at page No.136 in the accompanying Typed Set of Documents, and the corresponding consent affidavits given by all the shareholders are placed at page No. 118 to 135 in the accompanying Typed Set of Documents, and the Transferee

Company have accordingly sought dispensation of the meeting of the Equity Shareholders.

(v) The Transferee Company has 1 (one) Secured Creditor and the Certificate issued by the Chartered Accountant reflecting the same is placed at page No. 136 and the Consent Affidavit given by the sole Secured Creditor is placed at page No. 137 of the typed set of documents and have accordingly sought dispensation of the meeting of the Secured Creditor.

(vi) The Transferee Company has 9 Unsecured Creditors, and the Certificate issued by the Chartered Accountant reflecting the same is placed at page No. 140 and the Consent Affidavit given by Unsecured Creditor constituting 94.98% of the total value of credit is placed at page No. 141 to 150 of the typed set of documents and have accordingly sought dispensation of the meeting of the Unsecured Creditor.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

7. From the certificate of incorporation filed by the Transferor Company, it is a company incorporated under the Companies Act, 1956, on the 8th August 1994. The Authorized Share Capital of the Transferor Company is Rs.2,55,00,000/-, consisting of 25,50,000 Equity Shares of Rs. 10/- each. The issued subscribed and paid-up capital of the Transferor Company is Rs.2,42,62,500/- consisting of

24,6,250 Equity shares of Rs. 10/- each. The registered Office of the Transferor Company is at 3/11, Seshachala Gramini Garden Street, Sathangadu, Chennai – 600 019.

8. From the certificate of incorporation filed by the Transferee Company, it is a company incorporated under the Companies Act, 1956, on the 24th November 1973. The Authorized Share Capital of the Transferee Company is Rs.1,50,00,000/-, consisting of 15,00,000 Equity Shares of Rs. 10/- each. The issued subscribed and paid-up capital of the Transferee Company is Rs.1,37,00,000/-, consisting of 13,70,000 Equity Shares of Rs. 10/- each. The registered Office of the Transferee Company is at 3/11, Seshachala Gramini Garden Street, Sathangadu, Chennai – 600 019.

9. The Applicant Companies have filed their Memorandum and Articles of Association *inter alia* delineating its objects clauses as well their last available Audited Annual Accounts for the year ended 31.03.2021. The Board of Directors of the Applicant Companies have through their meetings dated 27th January, 2021, respectively, have unanimously approved the proposed Scheme as contemplated herein and the copies of the resolutions have been placed on record.

10. The Appointed date as specified in the Scheme shall be 1st April, 2020.

11. The Statutory Auditors of the Applicant Companies have examined the Scheme in terms of provisions of Section 232 of the Companies Act, 2013 and the rules made thereunder and have certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The said certificates of the statutory Auditors in this regard are placed in the accompanying Typed Set of Documents.

12. Taking into consideration the Applications of the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issued the following directions: -

A. IN RELATION TO THE TRANSFEROR COMPANY

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferor Company that there are five (5) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company that there is one (1) Secured Creditor in the Company whose consent by way of Affidavit has been obtained and placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with.***

(iii) **With respect to the Unsecured Creditors:**

Meeting of the Unsecured Creditors of the Transferor Company is directed to be held on **22.08.2022**, at **10:00 AM** at the Registered office address of the Transferor Company, or through video conferencing or any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to the Equity shareholders:**

Since it is represented by the Transferee Company that there are five (5) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with.***

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferee Company that there is one (1) Secured Creditor in the Company whose consent by

way of Affidavit has been obtained and placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(iii) **With respect to the Unsecured Creditors:**

Since it is represented by the Transferee Company that there are nine (9) Unsecured Creditor in the Company and the consent by way of Affidavit in respect of 94.98% of the total value of credit have been obtained and placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

13. The quorum for the meeting of the Unsecured Creditor of the Transferor Company shall be 3 (three);

i) The Chairperson appointed for the above said meetings shall be **Mr. Chandramouli Prabhakar, Advocate** *(Mob: 99404 69099)* and the alternate chairperson appointed for the above said meeting shall be the Director of the Company who has sworn in affidavit on behalf of the respective Applicant Companies. The fee of the Chairperson for the aforesaid meeting shall be *₹40,000/- (Rupees Forty Thousand Only)* in addition to meeting his incidental expenses.

ii) **Alpa Jain,** *ACS (Mob:- +91-8320068330)* is appointed as a Scrutinizer and would be entitled to fee of *₹25,000/- (Rupees Twenty Five Thousand Only)* for services in addition to meeting incidental expenses. The

Chairperson(s) will file the reports of the meetings within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted either by physical means or by video or audio-visual means enabled with e-voting as per the procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the

day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*" (All India Edition), and "*Dina Mani*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, the Income Tax Authorities, Registrar of Companies Chennai, Official Liquidator in respect of Transferor Company, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures

required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

14. The Applications stand **allowed** on the aforesaid terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Raymond